# Task 1: Selection and Research

*OCBC Bank Ltd - AI Governance and Model Risk Management for AML/KYC Source-of-Wealth Due Diligence*

Course: MH6822 Regulatory Technology

Assignment: Assignment 1 - Session 1

Selected entity: OCBC Bank Ltd

Jurisdictions: Singapore and United States

Domain: AI model risk management and AI governance for AML/KYC source-of-wealth due diligence

## 1. Executive selection

I have selected OCBC Bank Ltd as the regulated entity for this assignment. The non-US jurisdiction is Singapore, and the US jurisdiction is represented by OCBC Bank Ltd's New York Agency and Los Angeles Agency. The regulatory domain is AI model risk management and AI governance for AML/KYC source-of-wealth due diligence.

| Requirement | Selection |
|---|---|
| Regulated entity | OCBC Bank Ltd |
| US operation | OCBC New York Agency and OCBC Los Angeles Agency |
| Non-US jurisdiction | Singapore |
| Regulatory domain | AI model risk management and AI governance for AML/KYC source-of-wealth due diligence |
| Proposed tool direction | Jurisdiction-Aware AI Governance Monitor for KYC Source-of-Wealth Review |

## 2. Entity rationale

The reason for OCBC is because it is headquartered in Singapore, operates internationally, and has US banking agencies. OCBC's global offices page lists OCBC Bank Ltd's head office at 63 Chulia Street, Singapore, and identifies the United States as part of its international network [2].

For the US side, OCBC states that its New York Agency and Los Angeles Agency are branches of OCBC Bank. The New York Agency is supervised by the New York State Department of Financial Services and the Federal Reserve Bank of New York. The Los Angeles Agency is supervised by the California Department of Financial Protection and Innovation and the Federal Reserve Bank of San Francisco [3].

This makes OCBC a better fit than a purely US bank with a small Singapore office because the highlight divergent legislative and supervisory choices. OCBC allows me to start from a Southeast Asian financial institution while still including genuine US supervisory exposure.

## 3. Chosen domain

The chosen domain is AI model risk management and AI governance for AML/KYC source-of-wealth due diligence. I am not using fair lending or consumer credit scoring because OCBC's US agencies primarily support wholesale banking rather than retail consumer banking. A consumer fair-lending tool would therefore be less closely connected to OCBC's actual US footprint.

The AML/KYC source-of-wealth domain is more defensible. Bank of Singapore, OCBC's private banking arm, has publicly described a Source of Wealth Assistant that uses agentic AI to automate part of the source-of-wealth report drafting process. According to Bank of Singapore, the tool can reduce source-of-wealth report preparation from around 10 days to one hour, while relationship managers continue to review and refine the AI-generated draft before internal review as part of AML/CFT controls [4].

The project therefore focuses on the governance risk created when AI makes source-of-wealth work faster, more standardized, and more persuasive. The regulatory question is not whether AI can draft a report. The regulatory question is whether the bank can prove that the report is evidentially supported, human-reviewed, and governed correctly in each jurisdiction.

| Why this domain fits OCBC | Explanation |
|---|---|
| Real use case | OCBC group has a publicly described agentic AI source-of-wealth workflow through Bank of Singapore [4]. |
| AML/KYC relevance | Source-of-wealth due diligence is directly connected to AML/CFT and customer due diligence obligations. |
| US relevance | Wholesale branches and agencies still require AML, customer due diligence, governance, and risk management controls. |
| Singapore relevance | MAS has issued financial-sector AI governance and AI model risk management materials. |
| Tool design feasibility | Synthetic KYC files, evidence gaps, contradictions, human overrides, and jurisdiction-specific governance outputs can be simulated. |

## 4. Jurisdiction pair: Singapore and United States

The jurisdiction pair is Singapore and the United States. The key divergence is not simply that both jurisdictions regulate banks. The key divergence is that Singapore has more directly AI-governance-oriented supervisory materials for financial institutions, while the latest US model-risk guidance is more traditional and expressly excludes generative AI and agentic AI from its scope.

| Jurisdiction | Relevant focus for the tool | Regulatory implication |
|---|---|---|
| Singapore | MAS AI Model Risk Management, FEAT, Veritas, MAS Notice 626 AML/CFT controls | The tool should apply AI governance checks, evidence testing, human oversight, auditability, model monitoring, and AML/KYC control logic. |
| United States | Federal Reserve/OCC model | The tool should recognize a |

| | | |
|---|---|---|
| | risk guidance, BSA/AML and FinCEN CDD expectations | governance gap where agentic AI is outside the specific 2026 model-risk guidance, while still enforcing AML, customer due diligence, and internal governance controls. |

## 5. Singapore regulatory logic

In Singapore, the relevant supervisory materials include MAS Notice 626, MAS FEAT, MAS Veritas, and MAS AI Model Risk Management. MAS Notice 626 sets AML/CFT requirements for banks, including customer due diligence and risk mitigation expectations [9]. MAS FEAT provides principles for fairness, ethics, accountability, and transparency in financial institutions' use of AI and data analytics [7]. MAS Veritas was developed to help financial institutions operationalize responsible AI assessment against the FEAT principles [8].

Most importantly for this project, MAS's 2024 AI Model Risk Management information paper sets out good practices for AI and Generative AI model risk management [5]. MAS Circular ID 18/24 states that the information paper was based on a thematic review of banks' AI, including Generative AI, model risk management practices [6]. This makes Singapore a strong jurisdiction for a tool that directly evaluates AI-assisted KYC workflows.

## 6. United States regulatory logic

In the United States, the relevant framework is different. FinCEN's CDD Final Rule describes customer due diligence expectations for covered financial institutions, including identifying and verifying customers, identifying and verifying beneficial owners of legal entity customers, understanding customer relationships, and conducting ongoing monitoring [10].

For model risk, OCC Bulletin 2026-13 and Federal Reserve SR 26-2 provide updated interagency model risk management guidance. The OCC bulletin states that the guidance covers model development and use, validation and monitoring, governance and controls, and third-party products. However, it also states that generative AI and agentic AI models are novel, rapidly evolving, and not within the scope of the guidance [11]. The Federal Reserve issued the corresponding SR 26-2 supervisory letter [1].

This creates a meaningful design problem. A US-facing version of the tool should not falsely say that agentic AI is directly covered by the 2026 US model-risk guidance. Instead, it should flag a governance gap and require internal policy, AML/CFT, customer due diligence, legal, and compliance review.

## 7. Political choices and regulatory divergence

The political difference between Singapore and the United States is not that one jurisdiction cares about AI risk and the other does not. The difference is how each jurisdiction currently chooses to organize supervisory expectations around AI.

Singapore's approach is more explicitly AI-governance-oriented. MAS has issued FEAT, Veritas, and AI Model Risk Management materials that are designed for financial institutions using AI and data analytics. This reflects a policy choice to encourage financial-sector innovation while embedding accountability, transparency, fairness, data quality, and model governance into AI use.

The US approach is more risk-based and model-risk-management-oriented, but the 2026 guidance draws an explicit boundary around generative AI and agentic AI. This reflects a different supervisory choice: US regulators have updated traditional model-risk guidance but have not yet fully absorbed generative or agentic AI into that guidance.

## 8. Proposed Task 3 tool direction

The proposed tool for Task 3 is:

**Jurisdiction-Aware AI Governance Monitor for KYC Source-of-Wealth Review**

The tool would monitor whether AI-assisted source-of-wealth review is being used appropriately across Singapore and US contexts. It would not simply generate a compliance memo. It would test evidence sufficiency, identify contradictions, monitor human review quality, and activate different governance logic depending on jurisdiction.

| Tool mode | Core controls |
|---|---|
| Singapore mode | MAS AI MRM checklist, FEAT/Veritas governance checks, human-in-the-loop review, evidence sufficiency, data quality, audit trail, model monitoring, and MAS Notice 626 AML/CFT controls. |

| | |
|---|---|
| US mode | Classification of traditional model vs generative/agentic AI, warning that agentic AI is outside direct 2026 model-risk guidance scope, FinCEN CDD controls, BSA/AML escalation logic, internal governance evidence, and human judgment controls. |

## References


[1] **Federal Reserve SR 26-2, Revised Guidance on Model Risk Management.** Provides Federal Reserve supervisory letter for revised model risk management guidance. https://www.federalreserve.gov/supervisionreg/srletters/SR2602.htm

[2] **OCBC, Our Global Offices.** Identifies OCBC Bank Ltd, its Singapore head office, and international network including the United States. https://www.ocbc.com/group/about-us/international-network.page

[3] **OCBC Business Banking, International Presence - USA.** Describes OCBC New York Agency and Los Angeles Agency and their US supervisors. https://www.ocbc.com/business-banking/international/usa

[4] **Bank of Singapore, Source of Wealth Assistant media release.** Describes the agentic AI source-of-wealth use case and human review controls. https://www.bankofsingapore.com/media-releases/2025/bank-of-singapore-deploys-agentic-ai-tool-to-automate-writing-of-source-of-wealth-reports.html

[5] **MAS, Artificial Intelligence Model Risk Management information paper.** Sets out MAS good practices for AI and Generative AI model risk management. https://www.mas.gov.sg/-/media/mas-media-library/publications/monographs-or-information-paper/imd/2024/information-paper-on-ai-risk-management-final.pdf

[6] **MAS Circular ID 18/24.** States that the AI MRM information paper was based on a thematic review of banks AI, including Generative AI, model risk management practices. https://www.mas.gov.sg/-/media/mas-media-library/regulation/circulars/id/id18_24/id18_24.pdf

[7] **MAS, FEAT Principles.** Sets out fairness, ethics, accountability, and transparency principles for AI/data analytics in financial services.

https://www.mas.gov.sg/~/media/MAS/News%20and%20Publications/Monographs%20and%20Information%20Papers/FEAT%20Principles%20Final.pdf

[8] **MAS, Veritas Initiative.** Describes MAS-industry work to operationalise responsible AI assessment against FEAT principles. https://www.mas.gov.sg/schemes-and-initiatives/veritas

[9] **MAS, Notice 626.** Sets AML/CFT requirements for banks in Singapore. https://www.mas.gov.sg/regulation/notices/notice-626

[10] **FinCEN, CDD Final Rule.** Describes US customer due diligence requirements for covered financial institutions. https://www.fincen.gov/resources/statutes-and-regulations/cdd-final-rule

[11] **OCC Bulletin 2026-13, Model Risk Management: Revised Guidance.** States revised model risk management guidance and excludes generative AI and agentic AI from its scope. https://www.occ.treas.gov/news-issuances/bulletins/2026/bulletin-2026-13.html